

30-YEAR PROJECTION • 3 ALLOCATIONS • \$5.4M

Monte Carlo Portfolio Analysis Report

\$5,400,000

Initial Investment

60/40 • 70/30 • 80/20

Equity / Fixed Income (3 Scenarios)

\$225,000 / yr

Annual Distribution (paid quarterly, +3.0% / yr)

9.53% – 10.66%

Blended Expected Return (1960–2024)

30 Years

Time Horizon

3.00%

Inflation Rate (Distributions)

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Date: May 03, 2026

Established in 1976

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Disclaimer

The following report is a diagnostic tool intended to review the inputs provided and illustrate potential planning concepts that may be of benefit. The purpose of the report is to illustrate how accepted financial and investment planning principles may apply to the assumptions provided.

This report is based upon assumptions provided for illustrative purposes only. It provides broad and general guidelines on the advantages of certain financial planning concepts and does not constitute a recommendation of any particular technique or investment strategy. We recommend that you review your plan annually, or when circumstances change.

The term 'plan' or 'planning,' when used within this report, does not imply that a recommendation has been made to implement any financial plan or make a particular investment. The reports provide projections based on various assumptions and are hypothetical in nature and not guarantees of investment returns. Consult your tax and/or legal advisors before implementing any transactions.

Past performance is no guarantee of future performance. Actual results may differ from the projections contained in this report. The presentation of investment returns does not reflect the deduction of any commissions or advisory fees. Deduction of such charges will result in a lower rate of return.

Monte Carlo Analysis is a mathematical process used to implement complex statistical methods that chart the probability of certain financial outcomes at certain times in the future. This charting is accomplished by generating 10,000 possible economic scenarios. Each scenario randomly draws return data from a distribution based on means and standard deviations for equity and fixed income asset classes (1960–2024).

The Monte Carlo simulation uses 10,000 scenarios to determine the probability of outcomes resulting from the asset allocation choices and underlying return and volatility assumptions. Some scenarios will assume very favorable financial market returns; some will conform to the worst periods in investing history; most will fall somewhere in between.

IMPORTANT: The projections generated by this Monte Carlo simulation are hypothetical in nature, do not reflect actual investment results, and are not guarantees of future results. Results may vary with each use and over time. This report is prepared by Becker Capital Management for informational purposes only.

Portfolio Monte Carlo Analysis

30-Year Scenario Analysis — 3 Allocation Strategies

\$5.4M	60/40 • 70/30 • 80/20	\$225,000 / yr	Quarterly	30 Years	3.00%
Initial Investment	Equity / Fixed Income	Annual Distribution	Distribution Frequency	Time Horizon	Inflation

Executive Summary

This report presents a 30-year Monte Carlo simulation for a \$5,400,000 portfolio, evaluating 3 Equity / Fixed Income allocation strategies — **60/40 (Scenario A)**, **70/30 (Scenario B)**, **80/20 (Scenario C)**. Distributions are paid quarterly, escalating 3.0% annually to maintain real purchasing power.

Expected returns and volatility are derived from the **1960–2024** assumption set: equity mean 11.79% ($\sigma = 16.67\%$), fixed income mean 6.15% ($\sigma = 8.79\%$). The simulation runs 10,000 independent paths per scenario, with per-period returns drawn from a normal distribution parameterized to those annual figures.

Return Assumptions — 1960–2024

Parameter	Equity	Fixed Income	60/40 Blend	70/30 Blend	80/20 Blend
Mean Return	11.79%	6.15%	9.53%	10.10%	10.66%
Annual Std. Deviation (σ)	16.67%	8.79%	10.60%	11.96%	13.45%
Worst Calendar Year	-37.0%	-13.1%	—	—	—
Inflation on Distributions	—	—	3.00%	3.00%	3.00%
Source / Period	1960–2024	1960–2024	1960–2024	1960–2024	1960–2024

Monte Carlo Simulation — Scenario Comparison

Each scenario was simulated across **10,000 independent paths** over 30 years. Returns are drawn at the quarterly frequency from normal distributions parameterized by the chosen annual return assumptions. The lines below show median outcomes; shaded regions show the 20th–80th percentile bands of portfolio value.

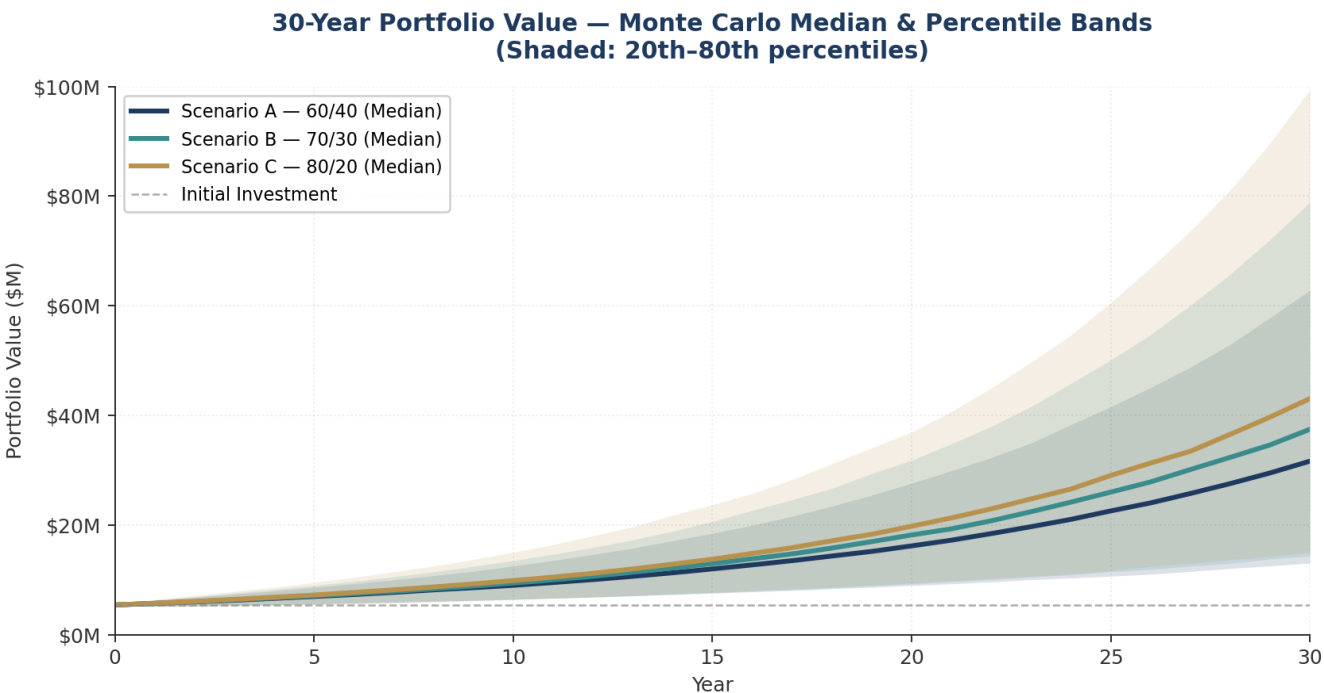


Figure 1 — Median portfolio value with 20th–80th percentile bands across 3 allocation scenarios.

30-Year Outcome Summary

Metric	Scenario A (60% / 40%)	Scenario B (70% / 30%)	Scenario C (80% / 20%)
Annual Distribution (Yr 1)	\$225,000	\$225,000	\$225,000
Per-Period Distribution (Yr 1, Quarterly)	\$56,250	\$56,250	\$56,250
Annual Escalation	3.0%	3.0%	3.0%
Total Distributed (30 yrs)	\$10.70M	\$10.70M	\$10.70M
Median Value — Year 10	\$8.98M	\$9.38M	\$9.84M
Median Value — Year 20	\$16.17M	\$18.17M	\$19.76M
Median Value — Year 30	\$31.63M	\$37.45M	\$43.05M
20th Percentile (Year 30)	\$13.03M	\$14.35M	\$15.02M
80th Percentile (Year 30)	\$62.80M	\$78.88M	\$99.37M
Probability of Ruin	2.9%	3.4%	4.5%
Prob. Exceeds Initial Investment	91.7%	91.4%	91.2%

Year-30 Outcome Distributions

The histograms below show the full distribution of Year-30 portfolio values across all 10,000 simulated paths for each scenario. The dashed red line marks the median outcome.

Year-30 Portfolio Value Distribution — Monte Carlo

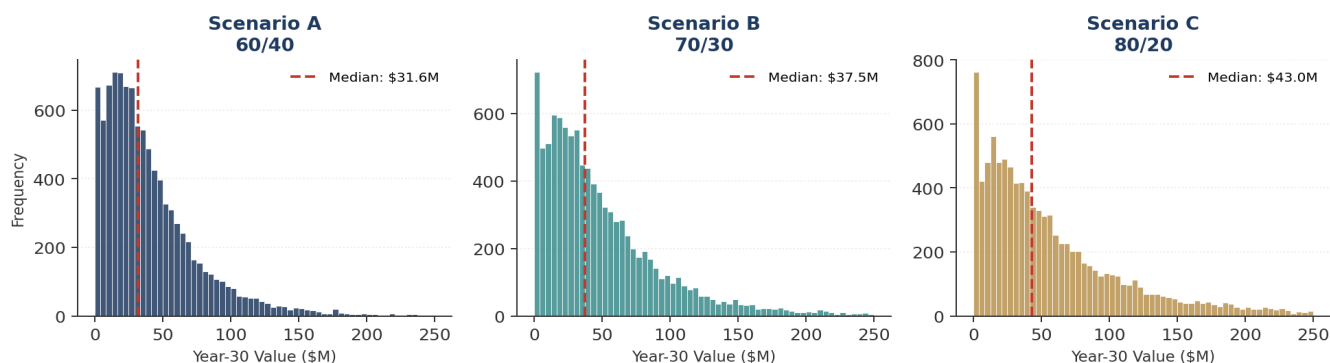


Figure 2 — Year-30 portfolio value distributions.

Detailed Monte Carlo Statistics

Statistic	Scenario A (60/40)	Scenario B (70/30)	Scenario C (80/20)
Mean Final Value	\$41.37M	\$51.56M	\$64.68M
Median (50th Pct) — Yr 30	\$31.63M	\$37.45M	\$43.05M
20th Percentile — Yr 30	\$13.03M	\$14.35M	\$15.02M
25th Percentile — Yr 30	\$16.07M	\$17.89M	\$18.91M
75th Percentile — Yr 30	\$55.45M	\$68.31M	\$84.18M
80th Percentile — Yr 30	\$62.80M	\$78.88M	\$99.37M
Interquartile Range (Yr 30)	\$39.38M	\$50.42M	\$65.27M
Probability of Portfolio Ruin	2.90%	3.38%	4.51%
Prob. Above Initial Inv. (Yr 30)	91.7%	91.4%	91.2%
Blended Annual Mean Return	9.53%	10.10%	10.66%
Blended Annual Volatility (σ)	10.60%	11.96%	13.45%

Allocation Comparison

Each allocation maintains the same underlying asset classes — U.S. equity and U.S. fixed income — and the same distribution policy. The variable across scenarios is the equity weighting and/or distribution amount. Higher equity weights raise both expected return and expected volatility.

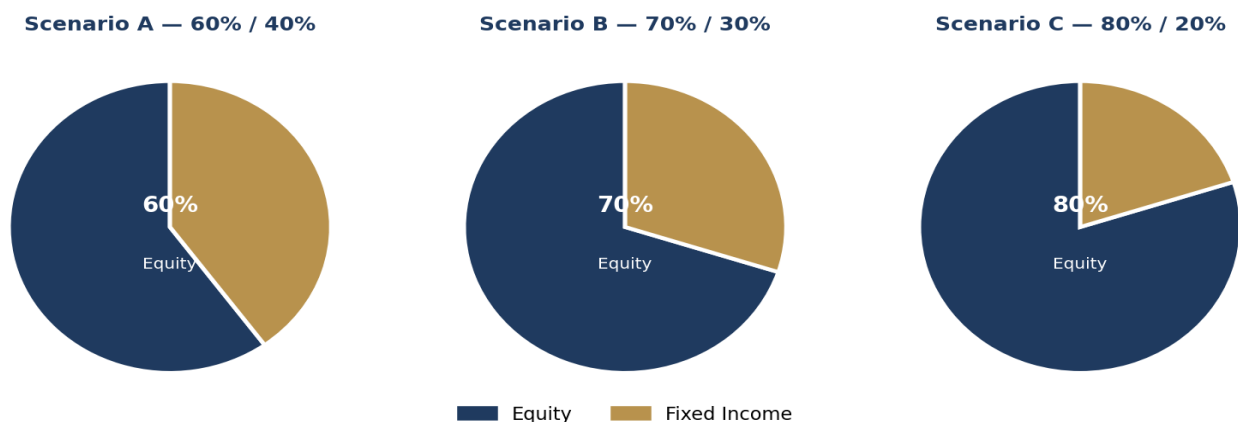


Figure 3 — 3 target allocations evaluated.

Key Findings

Scenario A — 60% Equity / 40% Fixed Income, \$225,000/yr: At the median, this allocation projects a Year-30 portfolio value of **\$31.63M**, with a 20th–80th percentile range of \$13.03M to \$62.80M. Probability of portfolio ruin: **2.90%**. Probability of ending above the initial \$5.4M investment: **91.7%**. Blended expected return: 9.53%; annual volatility: 10.60%.

Scenario B — 70% Equity / 30% Fixed Income, \$225,000/yr: At the median, this allocation projects a Year-30 portfolio value of **\$37.45M**, with a 20th–80th percentile range of \$14.35M to \$78.88M. Probability of portfolio ruin: **3.38%**. Probability of ending above the initial \$5.4M investment: **91.4%**. Blended expected return: 10.10%; annual volatility: 11.96%.

Scenario C — 80% Equity / 20% Fixed Income, \$225,000/yr: At the median, this allocation projects a Year-30 portfolio value of **\$43.05M**, with a 20th–80th percentile range of \$15.02M to \$99.37M. Probability of portfolio ruin: **4.51%**. Probability of ending above the initial \$5.4M investment: **91.2%**. Blended expected return: 10.66%; annual volatility: 13.45%.

Key Assumptions & Disclosures: Initial investment \$5,400,000 | Distribution frequency: Quarterly | Annual escalation: 3.0% | Time horizon: 30 years | Equity expected return 11.79% ($\sigma = 16.67\%$); fixed income expected return 6.15% ($\sigma = 8.79\%$); source: 1960–2024 | Per-period returns drawn independently from $N(\mu/k, \sigma/\sqrt{k})$ where k = periods per year | Distributions paid at the start of each period; returns applied to post-distribution balance | Asset-class returns assumed uncorrelated for blended-volatility calculation | No tax drag, advisory fees, or rebalancing costs modeled | Monte Carlo simulation: 10,000 paths per scenario | Past performance is not indicative of future results. This analysis is for illustrative purposes only and does not constitute investment advice.